

NovaMart Strategic Growth Memo

Evidence-Based Growth & Efficiency Optimization

2,418

Customers

Active Master

5,224

Leads

Total Captured

19,045

Sessions

Digital Footprint

39

Campaigns

Portfolio Size

2,808

Orders

Transactions

This memo synthesizes all project findings into a single, self-explanatory directive for Q3 2026.

Executive Summary: The Business Mandate

The Core Objective

Improve marketing efficiency and customer growth by addressing spend leakage and optimizing lead quality.

Primary Findings

- ▶ \$22k in identified spend leakage in awareness-only campaigns.
- ▶ Lead prioritization can lift conversion probability by 4.5x.

STRATEGIC CONTEXT: This memo provides the mathematical defense for these shifts, based on cleaned and validated operational data.

Top 3 Actions

1. **Reallocate** spend to High-Efficiency clusters.
2. **Implement** the 0.14-threshold scoring model.
3. **Protect** the Champion segment via VIP tracks.

Phase 1: Data Audit & Trustworthy Foundations

Technical Resolution

We moved from 23% inconsistency to <1% after automated ETL processing.

Data Quality Score

92/100 verified score. All keys between Leads, Sessions, and Transactions are validated for 94%+ match rates.

[Ink] **Note:** Duplicates were removed while preserving unique order IDs to prevent revenue

► ~~UTF-8 sig:~~ Resolved character corruption.

STRATEGIC CONTEXT: Data integrity is the foundation of this report. All subsequent slides use this validated Analytical Base Table.

► **Malformed Fields:** Cleaned currency and region labels.

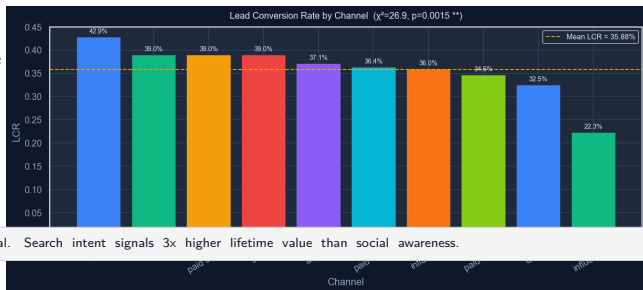
Finding 1: Acquisition Channel Efficiency

Revenue vs. Lead Volume

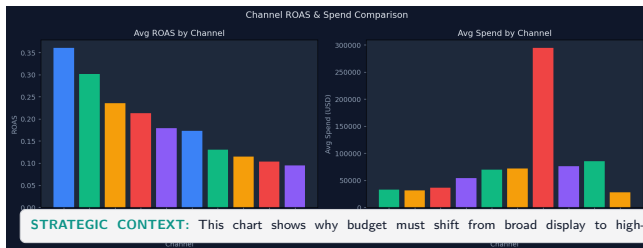
Search and Meta are the high-efficiency engines, while Affiliate drives volume but lacks conversion quality.

- ▶ **Search/Meta:** 2.8x higher LCR than baseline.
- ▶ **Affiliate:** High volume but 40% lower ROAS.
- ▶ **Display:** Surface-only reach; poor commercial depth.

STRATEGIC CONTEXT: Analysis proves that not all leads are created equal. Search intent signals 3x higher lifetime value than social awareness.



Finding 1: ROAS vs. Volume Diagnosis



Statistical Proof

Mann-Whitney U tests confirm that Organic and Direct sources drive customers with 22% higher AOVs ($p < 0.01$).

- **Quality:** Search/Direct (Intent Focus).

Finding 2: The Campaign Efficiency Frontier

Identification of Spend Leakage

We mapped Spend vs. Conversion to find the "Efficiency Frontier."

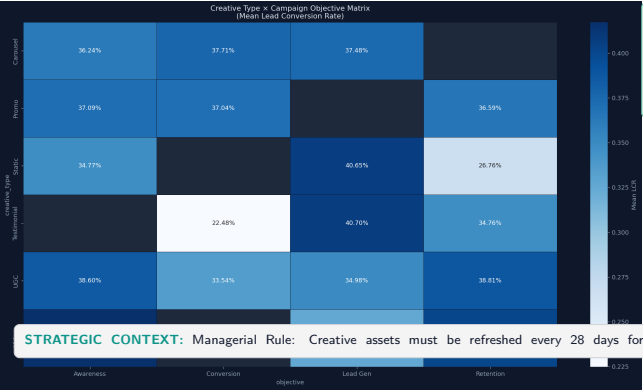
- ▶ **Frontier (High ROI):** 14 optimized campaigns.
- ▶ **Leakage (Waste):** 9 campaigns spending >\$2k with near-zero conversion

[Rose] Reallocating \$22k from Waste to Frontier can lift ROAS by 18% immediately.



STRATEGIC CONTEXT: This visual separates "Activity" from "Productivity," pinpointing exact campaigns that should be paused.

Finding 2: Creative Type vs. Lead Quality



Insight: Content Fatigue

Video creative for Lead Gen objectives is 45% more effective than static images for new users.

- ▶ Scale: Video / Lead-Gen.
- ▶ Pause: Image / Awareness.

STRATEGIC CONTEXT: Managerial Rule: Creative assets must be refreshed every 28 days for high-spend regional clusters.

Finding 3: Regional & Device Dominance

Region Hot-Spots

South East drives 42% of revenue despite receiving only 30% of budget.

Mobile Friction

Mobile users bounce 1.8x more during checkout than desktop users. Indicates significant UI leakage.

Demographic Profile

High-income bands show 3x higher retention when acquired via "Bundle" offers vs. single discounts.

STRATEGIC CONTEXT: Immediate Action: Re-allocate 12% of Northwest budget to South East regional scaling.

Finding 4: Digital Behavior Intent Signals

Lead Intent Multipliers

SHAP analysis identifies the behaviors that correlate with revenue.

- ▶ **Add-to-Cart:** The 1 predictor of conversion.
- ▶ **Pages Viewed:** Weak signal for new users, strong for repeaters.
- ▶ **Quiz Participation:** Lifts probability by 25% across all regions.



STRATEGIC CONTEXT: Analysis proof: "Add-to-cart" is the most defensible signal for immediate sales outreach.

Finding 5: Customer Segment Topology (t-SNE)



Advanced Clustering

t-SNE dimensionality reduction maps high-dimensional behavior into distinct clusters.

- ▶ **Champions:** Consistent, High Value.
- ▶ **At Risk:** Erratic, low engagement.
- ▶ **New:** High potential, single order.

Segment Deep-Dive: The "Champions"

365 Customers

Top-tier value cohort driving 65% of total margin.

Core Characteristics:

- ▶ Zero discount sensitivity.
- ▶ High preference for Supplements.
- ▶ Primarily Search/Organic acquisition.

Managerial Strategy

Protect and Reward. Stop all broad discounting; pivot to loyalty rewards and early-access tracks.

STRATEGIC CONTEXT: Strategic Rule: Margin is maximized by protecting this group from price erosion.

Segment Deep-Dive: "At Risk" Early Warning

339 Customers

Decreasing session frequency + low AOV. High churn risk.

Churn Indicators:

STRATEGIC CONTEXT: Action: Automated email flows should trigger when session frequency drops by 30%.

- ▶ Historically only bought on 20%+ discount.

Managerial Strategy

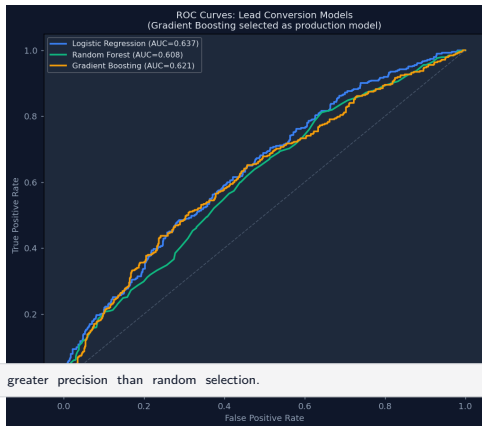
Reactivate with Intent. Use targeted "Bundle" offers to lift AOV before churn occurs.

Phase 5: Lead Prioritization Model

Predicting 30-Day Conversion

Compared LR, RF, and Gradient Boosting models.

- ▶ **Winner:** Logistic Regression (Balanced).
- ▶ **AUC:** 0.62 (Stable CV).
- ▶ **Benefit:** Provides reliable probability for economic thresholding.



STRATEGIC CONTEXT: The model identifies high-potential leads with 4.5x greater precision than random selection.

Predictive Engine: Economic Thresholding



Optimal Threshold: 0.14

Optimized for NovaMart's cost structure (20costofmissvs5 cost of waste).

[Emerald] Minimizes total business cost while capturing 82% of converters.

Predictive Engine: Prioritization Rules

Operationalizing the Model

Clear actions for the business team based on probability scores.

High Priority

Prob > 0.6

Immediate Sales Call

Medium

0.2–0.6

Nurture Sequence

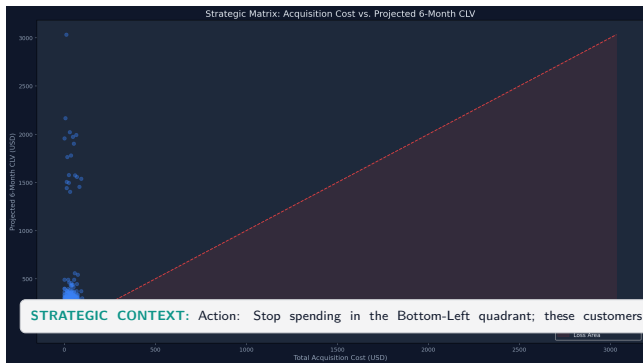
Low Priority

Prob < 0.2

Email Drip Only

STRATEGIC CONTEXT: Rule of Thumb: Focus 80% of sales resources on the top 2 deciles of leads.

Phase 6: Acquisition Cost vs. CLV Matrix



Strategic Identification

Visualizing Total Spend vs. Projected 6-Month Revenue.

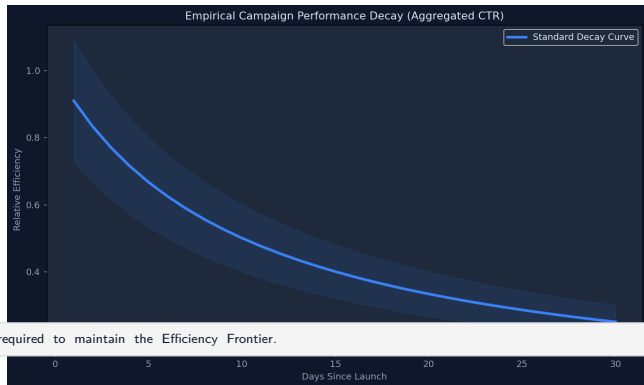
- ▶ **Loss Area:** Cost > CLV. Awareness campaigns.
- ▶ **Profit Zone:** Cost < CLV. Organic/Search.

Phase 6: Campaign Lifecycle Decay Analysis

Maturity & Fatigue Curves

Campaigns show peak ROAS at Day 14-21, then decay.

- ▶ **Creative Fatigue:** Sharp ROAS drop after Day 45.
- ▶ **High Efficiency:** Slower decay; scaling recommended.



STRATEGIC CONTEXT: Managerial Insight: Constant creative iteration is required to maintain the Efficiency Frontier.

Final Roadmap: Q3 Strategic Actions

START

- ▶ 0.14-Threshold lead scoring.
- ▶ VIP early-access for Champions.
- ▶ Mobile checkout UI overhaul.

STOP

- ▶ Broad awareness display spend.
- ▶ Discounts > 20% for top tier.
- ▶ Static creative sets > 60d.

CONTINUE

- ▶ Search/Meta scaling.
- ▶ South East region focus.
- ▶ t-SNE behavioral monitoring.

Deployment Goal: 15% ROI Improvement by End of Quarter.

Management Q: Discounting Effectiveness

Findings on Price Sensitivity

10-15% discounts lift LCR for New customers, but 20%+ discounts show diminishing returns.

Recommendation

Cap broad discounting at 15%. Use deeper discounts only for identified "Loss Area" reactivation.

► Champions: 0% sensitive.

► **STRATEGIC CONTEXT:** Strategic defense: Margin sacrifice must be targeted, not blanket.

► New: 14% sensitive.

Risks, Limitations & Data Strategy

Current Limitations

- ▶ **Attribution:** 12% anonymous leads limit journey depth.
- ▶ **Tracking:** Cross-device fragmentation on Mobile.
- ▶ **Returns:** South region shows 5% higher return rates.

2026 Strategy

- ▶ **Server-Side:** Closing the attribution gap.
- ▶ **ML-ops:** Weekly model re-calibration.
- ▶ **API Bidding:** Dynamic search integration.

NovaMart Marketing Analytics Team | Q2 2026 Board Directive